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AXIS AMC, WHICH IS THE SEVENTH-LARGEST ASSET MANAGEMENT COMPANY OF THE COUNTRY, IS ONE OF THE TOP FUND MANAGERS. IT NEEDS TO CLEAR THE AIR SOON ON WHAT WENT WRONG.

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WHAT'S UP AT AXIS AMC?

**○ AXIS AMC INITIATED
AN INVESTIGATION
IN FEBRUARY**

**○ FUND MANAGERS CHANGED
FOR SEVEN SCHEMES WITH
EFFECT FROM MAY 4**

“Mutual fund investments are subject to market risks. Please read all scheme-related documents carefully before investing.”

SOUNDS FAMILIAR? Well, this is the standard disclosure that every fund house or financial advisor has to give while pitching a mutual fund product to investors. This has been mandated by capital markets regulator Securities and Exchange Board of India (Sebi), which is known for its tight and stringent regulatory framework for the country's asset management companies (AMCs). In fact, the oft-repeated joke in the industry is that the framework is so tight with such micro-management that fund managers need a regulatory approval just to get up from their chair!

Given the regulatory framework and strict compliance controls put in place by fund houses, it is not common to come across instances of alleged wrongdoings or violations by key employees of mutual funds. Once every few years, though, there occurs a situation that makes investors and the regulator think whether the fund houses and their fund managers are performing their fiduciary responsibilities in letter and spirit. This assumes significance because then the investments are not only subject to market risks, as stated by the mandatory disclaimers, but also to risks arising from individuals failing in their fiduciary duties for which the investors did not sign up for.

Currently, Axis Asset Management Company is under the scanner for alleged wrongdoings by some em-